QUIZ

HOW SMART ARE YOU?

How much do you know about the basics of personal finance? Find out if you are as smart as you think you are

BEGINNER

Q1. Investments in a listed stock provides

a. Better liquidity
b. Guaranteed appreciation
c. Capital safety
d. All the above



Q2. As financial dependents increase, risk appetite generally

a. Increases
b. Decreases
c. Does not change
d. There is no correlation

Q3. Liquid assets include only



a. Cash
b. Cash and all debtors
c. Cash and all debtors (except bad debt)
d. All the above

Q4. What is the primary objective of financial planning?

a. To increase savings
b. To profit from investing
c. To reduce taxes
d. To achieve financial goals



INTERMEDIATE

Q1. Risk appetite is higher when

a. Life expectancy is low
b. Life expectancy is high
c. There is no correlation
d. None of the above

Q2. What is the primary concern of economics?

a. Maximise profit
b. Allocate resources efficiently
c. Increase government profits
d. Promote development



Q3. Which of the following is a macroeconomic concept

a. Supply and demand for coffee at a cafe
b. Cost of producing a single bike
c. National government debt
d. A household's monthly grocery expenses

Q4. Which of the following is a microeconomic concept?

a. Inflation rate
b. GDP
c. Consumer demand for cars
d. National unemployment rate



Q5. In which market does a buyer and seller directly deal in securities?

a. Primary market b. Direct market
c. Secondary market
d. None of the above

EXPERT

Q1. In which market are stocks and bonds related?



a. Money market
b. Stock market
c. Capital market
d. None of the above

Q2. Which schemes invest in long-term money market instruments?

a. Debt schemes
b. Equity schemes
c. Cash
d. All the above

Q3. Company's assets equal to

a. Liabilities + Debentures
b. Liabilities + Current assets
c. Liabilities + Shareholder's equity
d. None of the above

Q4. Which of the following is not a money market instrument



a. Certificate of deposit
b. Commercial paper
c. Treasury bill
d. Bonds

Q5. What does opportunity cost mean?

a. Actual cost of a product or service
b. Price of a product in the market
c. Total cost of production
d. Forgoing the potential benefit when an alternate option is chosen

Flip page to see answers

BEGINNER
1) a. Better liquidity
2) a. Increases
3) c. Cash and all debtors (except bad debt)
4) d. To achieve financial goals

INTERMEDIATE
1) b. Life expectancy is high
2) b. Allocate resources efficiently
3) c. National government debt
4) c. Consumer demand for cars
5) c. Secondary market

EXPERT
1) c. Capital market 2) a. Debt schemes
3) c. Liabilities + Shareholder's equity
4) d. Bonds 5) d. Forgoing the potential benefit when an alternate option is chosen